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SECTION 83(B) ELECTION

Filing Instructions and Tracking Sheet

This sheet exists because the Section 83(b) election is the one deadline in the entire formation process that cannot be fixed after the fact. It is set by statute at thirty (30) days from the date the shares are transferred. There is no extension, no late filing procedure, and no cure. Read this before you do anything else.

Why it matters

Your founder shares vest over four years. Without an 83(b) election, the IRS taxes you as each tranche vests, at the value the shares have on that vesting date. If the company is worth real money in year three, you owe ordinary income tax on paper gains you cannot sell to pay the bill. With a timely 83(b) election, you are taxed now, on today's value, which is essentially zero, and all future appreciation is treated as capital gain when you eventually sell.

The deadline

Item	Value
Date shares transferred (Effective Date of the Purchase Agreement)	_____
Filing deadline (transfer date plus 30 calendar days)	_____
Note	Count calendar days, not business days. If day 30 falls on a weekend or federal holiday, the deadline moves to the next business day.

How to file

You may file either on IRS Form 15620 or by submitting a written statement containing the information required by Treasury Regulation Section 1.83-2(e). Exhibit B to your Restricted Stock Purchase Agreement is a written statement in that form, already completed with your share numbers.

- Option 1 — Online. Submit Form 15620 through the IRS online portal. Save the confirmation page as a PDF immediately; it is your proof of timely filing.
- Option 2 — By mail. Mail the signed election to the IRS Service Center where you file your personal return. Send it by USPS Certified Mail with Return Receipt, and keep the stamped receipt together with a copy of the signed election. The postmark date is the filing date.

Only one method is required. Do not file twice.

A note on the online portal

When Form 15620 first went online, the portal capped the number of securities per submission and limited the fair market value and price fields to two decimal places, which broke elections for shares priced at \$0.00001. The IRS expanded those limits in late 2025. Before relying on the portal, confirm that your exact share count and your per-share price of \$0.00001 enter without being rounded or rejected. If either field will not accept your numbers, file by certified mail instead.

Checklist for each founder

Founder	Shares	Signed	Filed	Proof saved	Copy to Company
Pavel Georgiev	5,600,000	☐	☐	☐	☐
Simona Simeonova-Georgieva	2,400,000	☐	☐	☐	☐

After filing

- Deliver a copy of the filed election to the Company for the corporate records.
- Keep your own copy and proof of filing permanently. You may need it when you sell the stock, which could be five or more years from now.
- Attach a copy to your personal tax return for the year of the transfer if your preparer advises it. Retain it regardless.
- Note that the Section 1202 qualified small business stock holding period runs from the date the shares were issued, not from the date of the election.

What this does not do

An 83(b) election does not accelerate vesting, does not change the Company's repurchase rights, and does not guarantee qualified small business stock treatment. It only changes when and how you are taxed on the shares.